

February 19, 2026

CPUC Energy Division Tariff Unit
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Re: Protest of the Vehicle Grid Integration Council to Advice Letters 4794-E and 4795-E of San Diego Gas and Electric Company

Dear Sir or Madam:

Pursuant to the provisions of General Order 96-B, the Vehicle Grid Integration Council (“VGIC”) hereby submits this Protest to the above-referenced Advice Letters of San Diego Gas and Electric Company (“SDG&E”), Advice Letter 4794-E *Request for Exemption from Public Utilities Code Section 851 and Low Carbon Fuel Standard Holdback Revenue Return Implementation Plan in Compliance with Decision 20-12-027 for Residential Charging Rebate Program and Pre-Owned Electric Vehicle Program* and Advice Letter 4795-E *Request for Exemption from Public Utilities Code Section 851 and Low Carbon Fuel Standard Holdback Revenue Return Implementation Plan in Compliance with Decision 20-12-027 for Electric Vehicle High Power Rate Incentive Program* (both “Advice Letters”) submitted on January 30, 2026.

I. INTRODUCTION.

SDG&E’s Advice Letters propose to use Low Carbon Fuel Standard (“LCFS”) Holdback Funds for two programs: a Residential Charging Rebate Program to provide incentives for Level 2 chargers¹ and an EV High Power (“EV-HP”) Rate Incentive Program to encourage enrollment in the EV-HP rate.² While these proposals support transportation electrification generally, they do not include any vehicle-grid integration (“VGI”) component designed to actively manage EV load or reduce peak demand.

This omission is significant. SDG&E’s own Electrification Impact Study (“EIS”) Part 2 demonstrates that managed charging and demand flexibility materially reduce peak load and lower distribution infrastructure costs.³ Yet SDG&E does not currently offer active managed charging or meaningful bidirectional charging programs, nor does it propose to use LCFS Holdback Funds to develop them. As discussed below, VGI delivers measurable ratepayer benefits, and LCFS

¹ Outlined in Advice Letter 4794-E.

² Outlined in Advice Letter 4795-E.

³ SDG&E, *Final Electrification Impact Study Part 2*, January 28, 2026, filed in Rulemaking (“R.”) 21-06-017, <https://docs.cpuc.ca.gov/PublishedDocs/Efile/G000/M596/K903/596903988.PDF> (“SDG&E EIS Part 2”)

Holdback revenues are expressly authorized for such purposes under the California Air Resources Board’s (“CARB”) LCFS framework.⁴

Accordingly, SDG&E should modify Advice Letters 4794-E and 4795-E to include a VGI-focused component that aligns with its own planning analysis and CARB’s regulatory authorization.

II. SDG&E MUST INCLUDE VEHICLE-GRID INTEGRATION EFFORTS IN ITS HOLDBACK PLAN.

A. Vehicle-Grid Integration (“VGI”) provides significant savings to ratepayers.

SDG&E’s Advice Letters propose to use LCFS Holdback Funds for a Residential Charging Rebate Program and an EV-HP Incentive Program. While these programs may support transportation electrification generally, they do not meaningfully advance VGI or actively manage charging to reduce peak demand. This omission is particularly concerning given SDG&E’s own recently filed analysis – its Final EIS Part 2 – demonstrating that load flexibility materially reduces distribution infrastructure needs and ratepayer costs.

In its Final EIS Part 2, SDG&E found that maximizing demand flexibility led to a 193 MW reduction in peak load and reduced distribution costs by approximately \$697 million.⁵ **SDG&E’s analysis further confirms that light-duty electric vehicles (“EVs”) are the single largest contributor to peak load growth.⁶ In other words, unmanaged EV charging materially drives peak load and infrastructure expansion.** Conversely, managed EV charging and broader demand flexibility strategies meaningfully reduce those impacts.

However, these ratepayer savings depend on actually achieving the load shapes and customer response modeled in the study. In its modeling, SDG&E specifically included active managed charging strategies designed “to smooth charging demand during price fluctuations to prevent rebound peaks.”⁷ There is also evidence that EV discharging using bidirectional charging systems can further support load flexibility and drive down ratepayer costs. For example, Pacific Gas and Electric (“PG&E”) found in its own EIS Part 2 that bidirectional EVs could provide over 30% of the load flexibility modeled in its Demand Flexibility scenario.⁸

Yet, despite these modeled benefits, SDG&E does not currently offer any active VGI programs, including active managed charging or meaningful bidirectional EV participation pathways. The absence of such programs stands in direct tension with the utility’s own findings

⁴ See CARB’s LCFS Amendments, [Attachment A-1: Final Regulation Order \(Proposed Sections for Amendments\)](#) at p.49-50.

⁵ SDG&E EIS Part 2 at 1.

⁶ SDG&E EIS Part 2 at 24.

⁷ SDG&E EIS Part 2 at 13..

⁸ PG&E, *Electrification Impacts Study Part 2 Report*, January 28, 2026, filed in Rulemaking (“R.”) 21-06-017, <https://docs.cpuc.ca.gov/PublishedDocs/Efile/G000/M596/K907/596907812.PDF> (“PG&E EIS Part 2”) at 34.

that managed charging and demand flexibility materially reduce peak demand and lower distribution costs. Without programmatic mechanisms to unlock these modeled load shapes, the projected ratepayer savings will not materialize.

LCFS Holdback Funds represent a flexible funding source well-suited to developing and scaling VGI programs. These funds provide SDG&E with a clear opportunity to translate the findings of its EIS Part 2 into real-world implementation—by supporting active managed charging, bidirectional charging capability, and performance-based participation structures that optimize EV load for grid benefit. Instead, the Advice Letters allocate Holdback revenues toward programs that increase EV load without ensuring that load is managed in a manner consistent with SDG&E's own planning analysis.

SDG&E must therefore modify Advice Letters 4794-E and 4795-E to include a VGI-focused component that prioritizes managed and bidirectional charging. Failing to incorporate VGI into its Holdback plan disregards the utility's own quantified analysis and leaves substantial, documented ratepayer savings unrealized.

B. LCFS Holdback Funds Are Expressly Authorized to Support Vehicle-Grid Integration Programs

As shown above, VGI provides measurable grid and ratepayer benefits, including peak reduction and infrastructure cost deferral. LCFS Holdback Funds are not limited to passive EV adoption incentives; they are expressly intended to support transportation electrification programs that deliver grid and customer benefits. CARB's updated LCFS regulation explicitly identifies VGI-related investments, including managed charging and bidirectional charging deployment, as eligible uses of holdback credit proceeds. CARB provides the following examples of permissible uses:⁹

- i. Investments in grid-side distribution infrastructure necessary for EV charging.
- ii. ***Support for vehicle-grid integration with projects such as:***
 - I). ***Encouraging the optimization of EV charging through education in the following areas: peak demand, rate pricing, grid emergencies, potential power shutoffs, infrastructure deferral, renewable integration, and/or other signals and grid needs to provide grid and customer benefits.***
 - II). ***Providing program incentives to encourage driver participation in monitored/managed charging, demand response, or vehicle-to-load / vehicle-to-grid applications.***
 - III). ***Supporting the deployment and installation of bidirectional charging equipment.***
 - IV). ***Other innovative approaches to promoting and managing EV charging and discharging that provides benefits to customers and the grid.***

⁹ CARB's LCFS Amendments, [Attachment A-1: Final Regulation Order \(Proposed Sections for Amendments\)](#) at p.49-50.

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- iii. Hardware and software that decrease the cost of or avoid updates to infrastructure, including load management software or outlet splitting.

These examples directly mirror the load flexibility strategies modeled in SDG&E's EIS Part 2. Managed charging incentives, bidirectional charging equipment deployment, and load management software are not peripheral concepts; they are explicitly identified regulatory use cases for LCFS Holdback proceeds.

Yet SDG&E is currently the only major investor-owned utility not proposing a VGI-focused Holdback initiative. Given the documented cost savings associated with load flexibility and the central role of EVs in driving peak growth, SDG&E's omission is inconsistent with both CARB's LCFS framework and SDG&E's own planning analysis.

Accordingly, SDG&E should revise Advice Letters 4794-E and 4795-E to include a dedicated vehicle-grid integration component that:

1. Prioritizes active managed charging and bidirectional capability;
2. Explicitly targets peak load reduction and distribution infrastructure deferral; and
3. Aligns program design with the quantified load flexibility findings in SDG&E's EIS Part 2.

LCFS Holdback Funds present a timely and appropriate mechanism to operationalize the cost-saving benefits that SDG&E has already identified. SDG&E should modify the Advice Letters to incorporate a VGI-focused program consistent with CARB's authorization and SDG&E's own analysis. **VGIC strongly recommends that SDG&E file supplemental Advice Letters addressing this gap, proposing at least one VGI initiative.**

III. CONCLUSION.

VGIC appreciates the opportunity to submit this Protest to the Advice Letters. We look forward to collaborating with stakeholders on this important initiative.

Respectfully submitted,

/s/ Zach Woogen

Zach Woogen
Executive Director
Vehicle Grid Integration Council

cc: Greg Anderson, SDG&E (GAnderson@sdge.com and SDGETariffs@sdge.com)
Service list of R.23-12-008, R.18-12-006